

		Defendant Jehovany Barraza shall file the proposed Answer attached as Exhibit B to his declaration within 10 court days of the hearing. Defendant Jehovany Barraza to give notice.
7	Herrington vs. Hyundai Motor America 24-01376338	Motion to Compel Arbitration The Motion to Compel Arbitration brought by Defendant, Genesis Motor America, LLC (“GMA”) is DENIED. GMA argues that the Federal Arbitration Act (“FAA”) applies. Regardless of whether the FAA applies, “ ‘[s]tate law determines whether a non-signatory to an agreement containing an arbitration clause may compel arbitration.’ [Citations.]” (Yeh v. Superior Court of Contra Costa County (2023) 95 Cal.App.5th 264, 270.) Both the FAA and the California Arbitration Act require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and C.C.P. §1281.2). “Under ‘both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate.’ [Citation].” (Cruise v. Kroger Co. (2015) 233 Cal.App.4th 390, 396, emphasis in original (“Cruise”).) The court is to determine whether a valid arbitration agreement exists, and if so, whether the agreement encompasses the dispute at issue. (Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 960-961, citing Howsam v. Dean Witter Reynolds, Inc. (2002) 537 U.S. 79, 84; Lifescan, Inc. v. Premier Diabetic Servs., Inc. (9th Cir. 2004) 363 F.3d 1010, 1012.) Parties moving to compel arbitration “may meet their initial burden to show an agreement to arbitrate by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature.” (Espejo v.

	Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060.) A petitioner is not required to authenticate an opposing party’s signature on an arbitration agreement as a preliminary matter in moving for arbitration or in the event the authenticity of the signature is not challenged. (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 846 (“Ruiz”).) “The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 164 (“Gamboa”).) The burden of production may shift in a three-step process. (Id. at p. 165.) “First, the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’ [Citation.]” (Ibid.) This burden can be met by attaching to the motion or petition a copy of the arbitration agreement purporting to bear the opposing party’s signature, or by setting forth the agreement’s provisions in the motion.” (Ibid.) “For this step, ‘it is not necessary to follow the normal procedures of document authentication.’ [Citation.]” (Ibid.) “If the moving party meets its prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.” (Ibid.) “If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.]” (Gamboa, supra, 72 Cal.App.5th at p. 165.) This can be done by testifying under oath or declaring under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (Ibid.) “If the opposing party meets its burden of producing evidence, then in the second step, the moving party must
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establish with admissible evidence a valid arbitration agreement between the parties,” and “[t]he burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Gamboa, supra, 72 Cal.App.5th at pp. 165-166.) Once the opposing party produces evidence challenging the authenticity of the purported arbitration agreement, the moving party is required to rebut the challenge by establishing by a preponderance of the evidence that the agreement was valid. (Id. at p. 171.)

Plaintiff cites to Gamboa and Ruiz. In Gamboa, the Court of Appeal found that while the defendant employer may have met its burden on the first step by attaching a copy of the arbitration agreement purporting to bear plaintiff employee’s signature, the plaintiff “had met her burden on the second step by filing an opposing declaration, saying she did not recall the agreement and would not have signed it if she had been aware of it: ‘I do not remember these documents at all Had I been made aware of the existence of an arbitration agreement, and been explained its provisions, I would not have signed any such documents.’ ” (Gamboa, supra, 72 Cal.App.5th at p. 167.) The Court of Appeal concluded it was enough that plaintiff had challenged the authenticity of the agreement by saying under penalty of perjury that she did not remember it. (Id. at p. 168.) Thus, the Court of Appeal affirmed the order denying the defendant’s motion to compel arbitration and found the trial court did not err in finding that the defendant did not meet its burden to show a contract was formed as the defendant presented no evidence that plaintiff saw or signed the arbitration agreement because the trial court sustained plaintiff’s objections to the defendant’s evidence, namely a declaration by the defendant’s human resources director, which was inadmissible because it lacked foundational facts and personal knowledge, and because the arbitration agreement was never authenticated. (Id. at pp. 168-169.)

Similarly, in Ruiz, the Court of Appeal affirmed the trial court’s denial of the petition for arbitration on the ground that the defendant failed to establish that an arbitration agreement existed between the parties where the moving defendant did not prove by a preponderance of the evidence that plaintiff was the person who electronically signed the purported arbitration agreement as the declarant’s summary assertion that plaintiff was the person who signed the agreement, without any explanation as to how the declarant arrived at that conclusion or inferred the same, was insufficient, and left a “critical gap in the evidence supporting the petition.” (Ruiz, supra, 232 Cal.App.4th at p. 844.) More specifically, the plaintiff “averred he did not recall electronically signing the 2011 agreement,” and the Court of Appeal explained, “[t]hough Ruiz did not deny that the electronic signature on the 2011 agreement was his, he claimed he did not recall signing the 2011 agreement and would not have signed it had it been presented to him. In the face of Ruiz’s failure to recall signing the 2011 agreement, Moss Bros. had the burden of proving by a preponderance of the evidence that the electronic signature was authentic [citation], that is, it was what Moss Bros. claimed it was: ‘the act of’ Ruiz. [Citation.]” (Id. at pp. 844, 846.) The Court of Appeal found that the defendant did not present sufficient evidence, and thus, did not meet its evidentiary burden, to support a finding that the electronic signature on the 2011 agreement was the act of plaintiff. (Id. at pp. 842, 846.)

Here, while GMA is correct that it met its initial prima facie burden to produce evidence of a written agreement to arbitrate the controversy, GMA does not address Plaintiff’s challenge existence of the Warranty and arbitration provision contained therein.

Initially, the Warranty containing the arbitration upon which GMA relies is not signed by Plaintiff. Additionally, Plaintiff challenges the authenticity of the arbitration provision in the Warranty.

Similar to the plaintiffs in Gamboa and Ruiz, Plaintiff submits a declaration stating that “During the process of buying the vehicle, no one at the dealership (nor any other representative of Defendant) ever showed me an arbitration agreement, explained to me what an arbitration agreement was, or informed me that by buying the vehicle I was automatically agreeing to waive my Constitutional right to a jury if I ever brought claims against the manufacturer of the vehicle. I did not understand what arbitration was until it was explained to me by my attorney in connection with this case, because no representative of Defendant brought it to my attention in any way either during or before my purchase of the vehicle.” (ROA 50, Declaration of Norman Herrington, ¶ 3.) Plaintiff also states that “[n]o representative of Defendant reviewed or discussed the documents at Exhibits A and B to Mr. or Ms. Willette’s declaration, or any of their provisions with me, or told me that the agreement to arbitration was automatic by leasing the vehicle or receiving the benefits of its warranty, that the terms were negotiable, or that I could refuse to agree to the arbitration agreements, or that there was some opt-out procedure of the arbitration provision.” (Id., ¶ 4.) Plaintiff additionally states, “Had I been aware of the existence of such an arbitration provision and its significance, and had its provisions been explained to me, I would not have agreed to it. Had the opt-out procedure been explained to me, I would have opted out.” (Id., ¶ 5.) Plaintiff further states, “I never agreed to waive my Constitutional right to a jury trial in the event that I had a lemon law claim against Defendant in the future, which I had no way of anticipating at that time.” (Id., ¶ 6.)

The Court finds the foregoing declaration sufficient to challenge the existence of an agreement to arbitrate and require authentication. Plaintiff states that GMA did not show him an arbitration agreement during or before Plaintiff’s purchase of the vehicle and Plaintiff’s declaration indicates he was not aware of any arbitration agreement at the time he entered into the agreement to lease the car from the dealership, and had he been aware

of it, he would not have agreed to it, similar to the plaintiffs in Gamboa and Ruiz.

In turn, GMA must establish with admissible evidence that a valid arbitration agreement between the parties. In reply, GMA merely asserts that it met its prima facie burden, but does not authenticate the Warranty with the arbitration provision. Nor does GMA present any evidence in reply to prove an agreement to arbitrate exists by a preponderance of the evidence.

While GMA’s counsel, Jordan A. Willette, purports to attach a “true and correct copy” of the “California Motor Vehicle Lease Agreement” executed by Plaintiff when he leased the subject vehicle as Exhibit A, and a “true and correct copy” of the “Owner’s Handbook & Warranty Information manual that accompanied the sale of the Vehicle” as Exhibit B, counsel sets forth no facts indicating that counsel was present at the time Plaintiff leased the car, or establishing knowledge that the Warranty “accompanied the sale of the Vehicle.” (See ROA 30, Declaration of Jordan A. Willette, ¶¶ 2, 3.) Nor does Attorney Willette provide any information establishing the authenticity of either the Lease Agreement or the Warranty.

The Court SUSTAINS Objection Nos. 1 to 3 submitted by Plaintiff on July 24, 2024, as the testimony lacks personal knowledge and the exhibits have not been properly authenticated.

The Court DENIES Plaintiff’s request for judicial notice in its entirety.

Plaintiff’s request for a statement of decision is granted. (See *Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 970; see also Code Civ. Proc. § 1291.) This is the statement of decision.

Plaintiff to give notice.